

Asia Vital Components (3017 TT)

 Target price: **TWD3,880.00** (from TWD3,155.00)

 Share price (12 Aug): **TWD2,910.00** | Up/downside: **+33.3%**

5 4 3 2 1


Buy
 (unchanged)

2Q26 results review: improving margins profile

- 2Q26 EPS beat our and Bloomberg consensus estimates by 11-12%
- Leading position unchanged from its thermal and mechanical specialty
- Reaffirming our Buy (1) call; raising 12M TP to TWD3,880

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What's new: AVC announced its 2Q26 results and hosted an investor conference on 12 August 2026 after market hours. We believe AVC should be one of the key beneficiaries in terms of a growing TAM for thermal solutions with an aggressive capacity expansion plan over 2026-28. We reaffirm our Buy (1) call (see our latest memo, [2Q26 revenue roughly in line; bright 2H26 and 2027 outlook](#), on 7 July 2026).

What's the impact: 2Q26 results beat. AVC's 2Q26 revenue of TWD49,121m (+0.2 QoQ and +66.0% YoY) was roughly in line with our and Bloomberg consensus estimates. Its 2Q26 gross margin came in at 32.6% (vs. 29.8% in 1Q26 and 24.4% in 2Q25), a record-high level, higher than our and the consensus estimates of 31.0% on a better product mix and rising server revenue contribution of 66% in 2Q26 (vs. 66% in 1Q26 and 51% in 2Q25). Its operating profit of TWD13,478m (+12.1% QoQ and +164.5% YoY) beat our and consensus estimates by 6.7% and 6.6%, respectively, thanks to better-than-expected operating efficiency. Thus, its operating margin of 27.4% (vs. 24.5% in 1Q26 and 17.2% in 2Q25), also a record-high level, beat our estimate (25.5%) and consensus (25.2%). With some non-op gains such as interest and FX and a lower-than-expected tax rate, its net profit of TWD9,567m (+20.9% QoQ and +139.3% YoY) beat our and consensus estimates by 11.9% and 10.5%, respectively. Its 2Q26 EPS finished at TWD24.37.

Key highlights from the investor conference – AI server revenue continue to rise. AVC is confident of maintaining its leading position as an integrator of thermal and mechanism solution and aims to be a primary supplier to ASICs and GPU clients. In 2027, the revenue from ASICs projects (with rising liquid cooling penetration, ie. 50%+ in 2027) should be higher than from GPU ones. AVC is working on LPU, CPO (multiple clients) and Rubin Ultra and aims for higher capex in 2027 (mainly in Vietnam), up from TWD15bn in 2026. Its 2H26 outlook should be better than that for 1H26. We raised our 2026-28E EPS by 11-17%, mainly on our more aggressive revenue, gross margin and operating margin assumptions.

What we recommend: We reiterate our Buy (1) call and raise our 12M TP to TWD3,880 (from TWD3,155), still based on a target PER of 29x vs. a past-3-year PER range of 5-26x [average PER of 15x] applied to our 1-year forward EPS. Downside risks: slower-than-expected progress in high-gross-margin orders, slow AI server adoption, and competition.

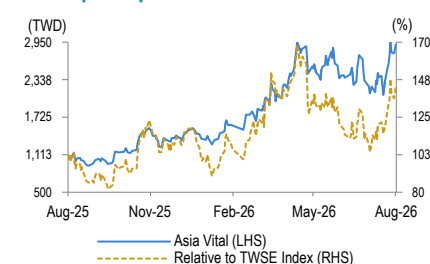
How we differ: Our 2026E and 2028E EPS are 7%/12% above consensus, likely as we are relatively more aggressive in our gross margin and operating margin assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	3.3	3.4	3.5
Net profit change	10.8	15.5	17.2
Core EPS (FD) change	10.7	15.4	17.1

Source: Daiwa forecasts

Share price performance



12-month range	935.00-2,945.00
Market cap (USDbn)	34.99
3m avg daily turnover (USDm)	359.56
Shares outstanding (m)	388
Major shareholder	Furukawa Electric (13.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	223,388	281,519	355,994
Operating profit (m)	60,025	80,796	106,086
Net profit (m)	41,185	55,799	73,206
Core EPS (fully-diluted)	102.988	139.534	183.063
EPS change (%)	113.5	35.5	31.2
Daiwa vs Cons. EPS (%)	7.0	(1.2)	12.2
PER (x)	28.3	20.9	15.9
Dividend yield (%)	1.4	2.0	2.6
DPS	42.0	56.9	74.6
PBR (x)	13.6	9.4	6.7
EV/EBITDA (x)	17.3	12.5	9.3
ROE (%)	63.9	54.1	49.8

Source: FactSet, Daiwa forecasts

AVC: revenue and earnings forecast revisions

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	223,388	216,169	3.3%	281,519	272,134	3.4%	355,994	343,793	3.5%
Gross profit	72,154	67,012	7.7%	95,716	85,722	11.7%	124,598	110,014	13.3%
Gross margin	32.3%	31.0%	1.3pp	34.0%	31.5%	2.5pp	35.0%	32.0%	3pp
Operating profit	60,025	55,126	8.9%	80,796	71,299	13.3%	106,086	92,137	15.1%
Operating margin	26.9%	25.5%	1.4pp	28.7%	26.2%	2.5pp	29.8%	26.8%	3pp
Net profit	41,185	37,184	10.8%	55,799	48,309	15.5%	73,206	62,475	17.2%
Net margin	18.4%	17.2%	1.2pp	19.8%	17.8%	2.1pp	20.6%	18.2%	2.4pp
Fully Diluted EPS (TWD)	102.99	93.06	10.7%	139.53	120.90	15.4%	183.06	156.35	17.1%

Source: Daiwa forecasts

AVC: 2Q26 results review

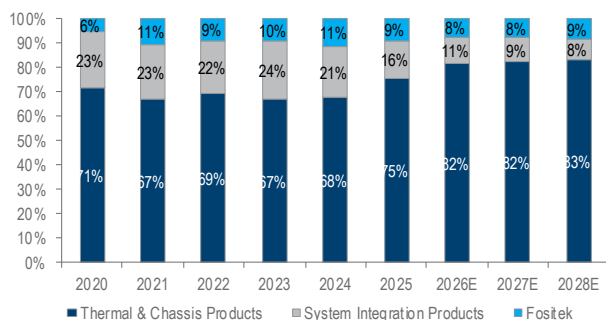
(TWDm)	AVC's 2Q26 results	Daiwa's forecast	Differ	Bloomberg consensus	Differ
Revenue	49,121	49,631	-1.0%	50,258	-2.3%
Gross profit	15,999	15,386	4.0%	15,587	2.6%
Operating profit	13,478	12,636	6.7%	12,646	6.6%
Profit before tax	13,935	12,907	8.0%	12,948	7.6%
Net profit	9,567	8,547	11.9%	8,656	10.5%
EPS	24.37	21.78	11.9%	21.80	11.8%
Margin					
Gross margin	32.6%	31.0%	1.6pp	31.0%	1.6pp
Operating margin	27.4%	25.5%	2pp	25.2%	2.3pp
Pre-tax margin	28.4%	26.0%	2.4pp	25.8%	2.6pp
Net margin	19.5%	17.2%	2.3pp	17.2%	2.3pp

Source: Company, Bloomberg, Daiwa forecasts

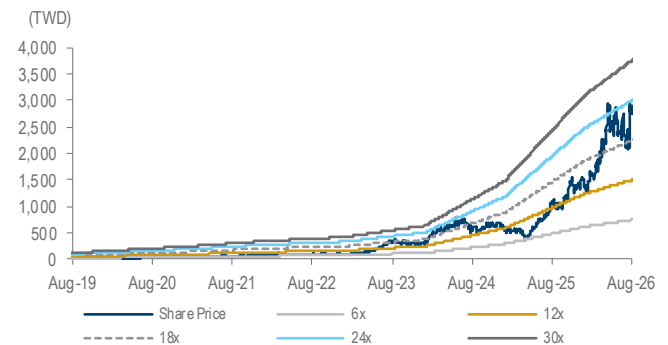
AVC: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	49,038	49,121	56,590	68,639	63,100	64,660	72,000	81,759	223,388	281,519	355,994
Gross profit	14,597	15,999	18,618	22,940	20,823	21,984	24,840	28,069	72,154	95,716	124,598
Operating profit	12,019	13,478	15,668	18,860	17,423	18,434	21,290	23,649	60,025	80,796	106,086
Pre-tax profit	11,979	13,935	16,145	19,338	17,937	18,948	21,804	24,163	61,397	82,852	108,143
Net profit	7,916	9,567	10,786	12,915	12,255	12,991	14,469	16,085	41,185	55,799	73,206
Basic EPS (TWD)	20.17	24.37	27.47	32.90	31.22	33.09	36.86	40.98	104.91	142.14	186.48
Margin											
Gross margin	29.8%	32.6%	32.9%	33.4%	33.0%	34.0%	34.5%	34.3%	32.3%	34.0%	35.0%
Operating margin	24.5%	27.4%	27.7%	27.5%	27.6%	28.5%	29.6%	28.9%	26.9%	28.7%	29.8%
Pre-tax margin	24.4%	28.4%	28.5%	28.2%	28.4%	29.3%	30.3%	29.6%	27.5%	29.4%	30.4%
Net margin	16.1%	19.5%	19.1%	18.8%	19.4%	20.1%	20.1%	19.7%	18.4%	19.8%	20.6%
YoY											
Revenue	110.2%	66.0%	45.3%	43.7%	28.7%	31.6%	27.2%	19.1%	60.0%	26.0%	26.5%
Gross profit	142.2%	121.5%	83.0%	81.9%	42.6%	37.4%	33.4%	22.4%	100.2%	32.7%	30.2%
Operating profit	175.6%	164.5%	93.8%	88.3%	45.0%	36.8%	35.9%	25.4%	117.8%	34.6%	31.3%
Pre-tax profit	159.3%	136.3%	96.5%	92.4%	49.7%	36.0%	35.0%	25.0%	113.3%	34.9%	30.5%
Net profit	146.3%	139.3%	102.0%	94.6%	54.8%	35.8%	34.1%	24.5%	114.7%	35.5%	31.2%
QoQ											
Revenue	2.6%	0.2%	15.2%	21.3%	-8.1%	2.5%	11.4%	13.6%			
Gross profit	15.8%	9.6%	16.4%	23.2%	-9.2%	5.6%	13.0%	13.0%			
Operating profit	20.0%	12.1%	16.3%	20.4%	-7.6%	5.8%	15.5%	11.1%			
Pre-tax profit	19.2%	16.3%	15.9%	19.8%	-7.2%	5.6%	15.1%	10.8%			
Net profit	19.3%	20.9%	12.7%	19.7%	-5.1%	6.0%	11.4%	11.2%			

Source: Company, Daiwa forecasts

AVC: product mix


Source: Company, Daiwa forecasts

AVC: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & chassis revenue YoY growth (%)	11.5	22.5	2.2	22.7	116.8	73.4	27.3	27.5
System integration products revenue YoY growth (%)	17.7	14.9	13.9	7.6	46.4	10.0	10.0	10.0
Fositek revenue YoY growth (%)	126.1	(0.2)	12.5	45.0	51.9	35.0	35.0	35.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & Chassis	31,609	38,707	39,542	48,511	105,148	182,341	232,173	296,051
System Integration Products	10,702	12,296	14,005	15,070	22,063	24,269	26,696	29,366
Other Revenue	5,022	5,013	5,647	8,181	12,428	16,778	22,650	30,577
Total Revenue	47,333	56,017	59,194	71,761	139,639	223,388	281,519	355,994
Other income	0	0	0	0	0	0	0	0
COGS	(38,947)	(45,167)	(46,806)	(54,891)	(103,605)	(151,234)	(185,802)	(231,396)
SG&A	(1,186)	(1,637)	(1,793)	(1,892)	(2,900)	(4,468)	(5,630)	(7,120)
Other op.expenses	(2,373)	(2,907)	(3,174)	(4,156)	(5,579)	(7,661)	(9,290)	(11,392)
Operating profit	4,827	6,306	7,421	10,823	27,556	60,025	80,796	106,086
Net-interest inc./(exp.)	(120)	(184)	(46)	114	91	756	756	756
Assoc/forex/extraord./others	61	367	650	1,415	1,140	616	1,300	1,301
Pre-tax profit	4,768	6,489	8,025	12,352	28,786	61,397	82,852	108,143
Tax	(1,438)	(1,871)	(2,211)	(3,159)	(7,836)	(16,712)	(22,553)	(29,437)
Min. int./pref. div./others	(429)	(456)	(510)	(1,020)	(1,764)	(3,500)	(4,500)	(5,500)
Net profit (reported)	2,901	4,162	5,305	8,172	19,186	41,185	55,799	73,206
Net profit (adjusted)	2,901	4,162	5,305	8,172	19,186	41,185	55,799	73,206
EPS (reported)(TWD)	8.210	11.781	14.106	21.210	49.173	104.913	142.143	186.484
EPS (adjusted)(TWD)	8.210	11.781	14.106	21.210	49.173	104.913	142.143	186.484
EPS (adjusted fully-diluted)(TWD)	8.176	11.728	13.706	20.622	48.238	102.988	139.534	183.063
DPS (TWD)	4.300	5.000	6.960	9.930	21.000	41.965	56.857	74.594
EBIT	4,827	6,306	7,421	10,823	27,556	60,025	80,796	106,086
EBITDA	6,404	8,022	9,375	13,285	30,802	63,293	85,507	112,421

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,768	6,489	8,025	12,352	28,786	61,397	82,852	108,143
Depreciation and amortisation	1,577	1,716	1,954	2,463	3,246	3,268	4,711	6,334
Tax paid	(780)	(1,582)	(1,616)	(2,430)	(3,253)	(16,712)	(22,553)	(29,437)
Change in working capital	(3,275)	(1,339)	3,683	(7,379)	(390)	(15,106)	(3,372)	(11,910)
Other operational CF items	551	3,556	(1,722)	4,628	10,932	(736)	(756)	(756)
Cash flow from operations	2,841	8,840	10,324	9,632	39,321	32,110	60,882	72,374
Capex	(1,567)	(3,666)	(3,657)	(4,540)	(7,267)	(15,000)	(17,000)	(19,000)
Net (acquisitions)/disposals	43	(12)	(23)	(66)	3	0	0	0
Other investing CF items	(636)	(515)	(226)	(3,063)	(6,072)	0	0	0
Cash flow from investing	(2,160)	(4,194)	(3,907)	(7,669)	(13,336)	(15,000)	(17,000)	(19,000)
Change in debt	1,793	4,037	(1,474)	3,309	7,054	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(989)	(1,519)	(1,915)	(2,683)	(3,877)	(7,059)	(16,474)	(22,320)
Other financing CF items	355	(436)	4,261	(426)	(557)	0	0	0
Cash flow from financing	1,159	2,082	872	200	2,620	(7,059)	(16,474)	(22,320)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	1,841	6,728	7,289	2,163	28,605	10,051	27,408	31,055
Free cash flow	1,275	5,174	6,667	5,092	32,053	17,110	43,882	53,374

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	12,915	20,049	26,957	29,924	58,530	68,561	95,969	127,024
Inventory	16,374	18,951	19,369	35,473	51,484	84,100	96,850	123,906
Accounts receivable	6,762	5,081	7,196	8,306	13,212	21,794	25,962	33,781
Other current assets	2,580	1,405	1,370	2,389	2,950	2,950	2,950	2,950
Total current assets	38,631	45,486	54,892	76,092	126,176	177,405	221,732	287,660
Fixed assets	7,711	9,694	11,350	13,805	17,849	29,581	41,870	54,535
Goodwill & intangibles	151	134	177	169	195	195	195	195
Other non-current assets	4,372	5,160	5,248	9,839	15,916	15,916	15,916	15,916
Total assets	50,865	60,474	71,667	99,906	160,137	223,097	279,713	358,307
Short-term debt	5,028	7,970	7,583	13,130	16,311	16,311	16,311	16,311
Accounts payable	20,116	18,911	24,900	36,809	61,128	87,921	102,169	125,834
Other current liabilities	2,832	5,999	4,350	8,350	20,057	13,025	13,025	13,025
Total current liabilities	27,976	32,880	36,833	58,288	97,495	117,257	131,505	155,170
Long-term debt	3,730	4,908	3,678	4,049	7,623	7,623	7,623	7,623
Other non-current liabilities	5,074	5,263	5,309	4,096	4,453	4,453	4,453	4,453
Total liabilities	36,780	43,051	45,820	66,433	109,572	129,333	143,581	167,247
Share capital	3,533	3,533	3,833	3,883	3,983	3,926	3,926	3,926
Reserves/R.E./others	8,880	11,963	18,197	24,988	40,618	80,374	118,242	167,670
Shareholders' equity	12,413	15,496	22,030	28,871	44,601	84,300	122,168	171,596
Minority interests	1,672	1,927	3,817	4,602	5,964	9,464	13,964	19,464
Total equity & liabilities	50,865	60,474	71,667	99,906	160,137	223,097	279,713	358,307
EV	1,127,093	1,124,333	1,117,699	1,121,435	1,100,946	1,094,415	1,071,507	1,045,952
Net debt/(cash)	(4,157)	(7,171)	(15,696)	(12,745)	(34,596)	(44,627)	(72,035)	(103,089)
BVPS (TWD)	35.134	43.861	57.472	74.929	114.306	214.744	311.207	437.121

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	19.3	18.3	5.7	21.2	94.6	60.0	26.0	26.5
EBITDA (YoY)	41.8	25.3	16.9	41.7	131.8	105.5	35.1	31.5
Operating profit (YoY)	47.2	30.6	17.7	45.8	154.6	117.8	34.6	31.3
Net profit (YoY)	51.4	43.5	27.4	54.1	134.8	114.7	35.5	31.2
Core EPS (fully-diluted) (YoY)	51.3	43.4	16.9	50.5	133.9	113.5	35.5	31.2
Gross-profit margin	17.7	19.4	20.9	23.5	25.8	32.3	34.0	35.0
EBITDA margin	13.5	14.3	15.8	18.5	22.1	28.3	30.4	31.6
Operating-profit margin	10.2	11.3	12.5	15.1	19.7	26.9	28.7	29.8
Net profit margin	6.1	7.4	9.0	11.4	13.7	18.4	19.8	20.6
ROAE	25.2	29.8	28.3	32.1	52.2	63.9	54.1	49.8
ROAA	6.2	7.5	8.0	9.5	14.8	21.5	22.2	22.9
ROCE	23.5	23.7	22.0	24.7	44.0	62.5	58.2	56.6
ROIC	39.4	44.5	52.7	52.2	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	30.2	28.8	27.5	25.6	27.2	27.2	27.2	27.2
Accounts receivable (days)	49.6	38.6	37.9	39.4	28.1	28.6	31.0	30.6
Current ratio (x)	1.4	1.4	1.5	1.3	1.3	1.5	1.7	1.9
Net interest cover (x)	40.3	34.2	162.1	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	52.4	42.4	49.3	46.8	42.7	40.0	40.0	40.0
Free cash flow yield	0.1	0.5	0.6	0.5	2.8	1.5	3.9	4.7

Source: FactSet, Daiwa forecasts

Company profile

AVC is a global leading comprehensive thermal solutions provider in segments related to desktops, laptops, communication, servers, energy and autos. Its main product line includes thermal products (thermal modules and fans), chassis, system assembly and peripheral products and hinges. The company has been listed on Taiwan's main board since September 2002.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	The CEO and Chairperson of AVC are the same individual, but we see no issue with its board quality. Besides, we see the Chairperson has 24 years of experience in this industry, which is a positive sign from an executive perspective.
	Capital management	2	AVC's dividend payout ratio was 40-52% over 2020-25, likely due to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions was 1-3% of total revenue during 2021-25, and we found no suspicious activity.
E	Supply chain management	1	AVC has introduced Hazardous Substance Process Management (HSPM) and received QC080000 certification. In addition, AVC set up a Green Product team to promote HSPM and formulate environmental regulation to make sure its material sourcing and efficiency are well-performed.
E	Data security	1	To prevent the interruption of information systems and leakage of sensitive information causing losses to the company and customers, AVC has introduced an information security management system and passed the ISO 27001 information security management system certification in 2019.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 6 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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